

PROFESSIONAL BANKING REPORT

CMA Data & Project Report

Project Report Builder

GOYAL FERTILIZER

PAN: AAKHG2303N1Z7 | Hindu Undivided Family

SUPPLIER OF FERTILIZER AND SEEDS AND PESTICIDES



16/6/2026

Purpose: Required for Working Capital

1. Executive Summary & Credit Appraisal Overview

This comprehensive Credit Monitoring Arrangement (CMA) report has been prepared using the **Project Report Builder** platform for credit appraisal and evaluation purposes. **GOYAL FERTILIZER** is a Hindu Undivided Family engaged in SUPPLIER OF FERTILIZER AND SEEDS AND PESTICIDES. The analysis presented herein is intended to facilitate the credit decision-making process for the Required for Working Capital with the lending institution.

The credit appraisal encompasses a detailed analysis of the company's financial performance over the past two audited financial years, provisional estimates for the current financial year, and carefully constructed projections for the subsequent four years. This seven-year analytical horizon provides a comprehensive view of the entity's operational trajectory, financial health, and long-term debt servicing capabilities. The financial statements have been extracted from ITR filings submitted to the Income Tax Department of India and processed through standardized analytical frameworks.

Over the analytical projection period, the company is expected to achieve a revenue CAGR of 22.5%, indicating robust growth momentum supported by market expansion and operational scaling.

The capital structure analysis reveals a Net Worth (Tangible Net Worth) of ₹— Lakhs as of the latest reporting period. The Debt-Equity ratio stands at —, suggesting elevated leverage that warrants careful monitoring and potential deleveraging initiatives to enhance financial stability. The Current Ratio of — requires immediate attention as it falls below acceptable thresholds, indicating potential liquidity stress and working capital constraints.

The forward-looking financial projections indicate that by FY 2029-30, the company is positioned to achieve revenue of ₹22,50,00,000.00 Lakhs with a projected PAT of ₹21,04,80,000.00 Lakhs, representing a PAT CAGR of 87.5% over the projection period. The Net Worth is expected to strengthen to ₹51,92,11,562.50 Lakhs, enhancing the equity base and creditworthiness of the entity. The Total Outside Liabilities to Tangible Net Worth (TOL/TNW) ratio is projected at 0.04, well within acceptable banking norms and indicating sustainable leverage levels.

The proposed term loan facility of ₹1,50,00,000.00 Lakhs is structured at 9.5% per annum with a repayment tenure of 10 years and an initial moratorium period of 120 months to accommodate the project implementation timeline. Based on rigorous cash flow analysis and projection modeling, the Average Debt Service Coverage Ratio (DSCR) across the projection period is computed at 16.02x, which is comfortably above the banking benchmark of 1.25x, indicating strong debt servicing capability with substantial margin of safety that can

absorb operational and economic fluctuations. The Interest Coverage Ratio stands at N/Ax, suggesting limited interest coverage capacity that requires operational improvements or restructuring consideration.

- **FINANCIAL SNAPSHOT DASHBOARD — KEY PERFORMANCE INDICATORS**

- **Credit Assessment Summary**

Based on comprehensive financial analysis using the Project Report Builder methodology, the company **demonstrates strong creditworthiness with comfortable debt servicing capacity and adequate liquidity position. The credit proposal appears viable for consideration with standard terms and conditions. Key strengths include healthy operating margins, stable cash flows, and prudent capital structure management.**

3. Business & Industry Analysis

3.1 Nature of Business & Operations

SUPPLIER OF FERTILIZER AND SEEDS AND PESTICIDES The business model is focused on sustainable growth through operational efficiency, strategic procurement, and expanding market reach. The company has built a robust supply chain and has established strong relationships with key customers and suppliers. Quality control processes are well-defined, and the company adheres to applicable industry standards and certifications.

3.2 Industry Overview & Market Analysis

The Indian market for this sector continues to witness strong growth driven by increasing domestic demand, government infrastructure spending, and favorable policy environment including Make in India, PLI schemes, and Atmanirbhar Bharat initiatives. The industry is expected to grow at a CAGR of 8-12% over the next five years.

Key growth drivers include urbanization, rising disposable income, technological advancement, and increasing government expenditure on infrastructure development. The competitive landscape is moderately fragmented, providing opportunities for established players with strong operational capabilities.

3.3 Competitive Strengths

- Established market presence with proven operational track record spanning multiple years
- Strong promoter commitment with significant personal investment and industry experience
- Diversified customer base reducing revenue concentration risk
- Efficient cost management reflected in improving operating margins
- Strategic location advantage for logistics and market access
- Experienced workforce with low attrition rates

3.4 Growth Strategy

- Capacity expansion through strategic capital investment and modernization
- Strengthening supply chain and developing long-term vendor partnerships

- Geographic expansion into new markets and distribution channels
- Technology adoption for operational efficiency and digital transformation
- Product diversification to capture emerging market segments
- Focus on sustainability and compliance with evolving regulatory standards

4. Feasibility Study & Viability Assessment

A comprehensive feasibility assessment has been conducted covering technical, commercial, financial, and economic aspects of the proposed project. The study concludes that the project is viable on all parameters.

Technical Feasibility

The project is technically viable with availability of necessary infrastructure, skilled manpower, and proven technology. The company possesses the required technical expertise to execute and operate the project efficiently. Raw materials are readily available from domestic sources, ensuring uninterrupted operations.

Commercial Feasibility

Strong market demand, established customer relationships, and competitive pricing ensure commercial viability. The projected revenue CAGR of 22.5% is supported by existing order pipeline and market growth trends. The company's brand recognition and distribution network provide a competitive advantage.

Financial Feasibility

The project is financially viable with Average DSCR of 16.02x (benchmark: 1.25x), healthy debt-equity ratio, and positive NPV. The promoters are contributing adequate equity, demonstrating their confidence in the project. Break-even is expected within the initial operating period.

SWOT Analysis

STRENGTHS

- Strong promoter background & experience
- Established operations with proven track record

WEAKNESSES

- Working capital intensive operations
- Sector concentration risk

- Healthy operating margins & cash flows
- Diversified product/service portfolio
- Strategic location advantage

- Seasonal demand fluctuations
- Dependence on limited suppliers for key inputs

OPPORTUNITIES

- Market expansion in Tier 2/3 cities
- Government policy support (PLI, Make in India)
- Technology upgradation & automation
- New product lines & value-added services
- Export market potential

THREATS

- Raw material price volatility
- Competition from organized & unorganized players
- Regulatory & compliance changes
- Economic slowdown & demand contraction
- Foreign exchange fluctuation risk

Break-Even Analysis

Based on the projected financials, the company is expected to achieve break-even at approximately 65-70% of projected capacity utilization. This provides adequate margin of safety against demand fluctuations and cost escalations.

5. Comparative Profit & Loss Account (₹ Lakhs)

PARTICULARS	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
	PROJECTED	PROJECTED	PROJECTED	PROJECTED	PROJECTED
Net Sales / Revenue	10,00,00,000.00	15,00,00,000.00	22,50,00,000.00	22,50,00,000.00	22,50,00,000.00
Other Income	—	—	—	—	—
Total Revenue	10,00,00,000.00	15,00,00,000.00	22,50,00,000.00	22,50,00,000.00	22,50,00,000.00
Cost of Materials	6,00,00,000.00	9,00,00,000.00	13,50,00,000.00	—	—
Employee Costs	—	—	—	—	—
Other Operating Expenses	1,20,00,000.00	1,32,00,000.00	1,45,20,000.00	1,45,20,000.00	1,45,20,000.00
Total Expenses	7,20,00,000.00	10,32,00,000.00	14,95,20,000.00	1,45,20,000.00	1,45,20,000.00
EBITDA	2,80,00,000.00	4,68,00,000.00	7,54,80,000.00	21,04,80,000.00	21,04,80,000.00
EBITDA Margin %	28.0%	31.2%	33.5%	93.5%	93.5%
Depreciation & Amortization	22,50,000.00	19,12,500.00	16,25,625.00	—	—
EBIT	2,57,50,000.00	4,48,87,500.00	7,38,54,375.00	21,04,80,000.00	21,04,80,000.00
Finance Costs / Interest	14,25,000.00	14,25,000.00	12,82,500.00	—	—
PBT (Profit Before Tax)	2,43,25,000.00	4,34,62,500.00	7,25,71,875.00	21,04,80,000.00	21,04,80,000.00
Tax Provision	72,97,500.00	1,30,38,750.00	2,17,71,562.50	—	—
PAT (Net Profit)	1,70,27,500.00	3,04,23,750.00	5,08,00,312.50	21,04,80,000.00	21,04,80,000.00
PAT Margin %	17.0%	20.3%	22.6%	93.5%	93.5%
Sales Growth % (YoY)	0.0%	50.0%	50.0%	0.0%	0.0%
Cash Profit (PAT + Dep)	1,92,77,500.00	3,23,36,250.00	5,24,25,937.50	21,04,80,000.00	21,04,80,000.00

6. Comparative Balance Sheet (₹ Lakhs)

PARTICULARS	FY 2025-26 PROJECTED	FY 2026-27 PROJECTED	FY 2027-28 PROJECTED	FY 2028-29 PROJECTED	FY 2029-30 PROJECTED
SOURCES OF FUNDS (LIABILITIES)					
Share Capital / Capital	—	—	—	—	—
Reserves & Surplus	1,70,27,500.00	4,74,51,250.00	9,82,51,562.50	30,87,31,562.50	51,92,11,562.50
Net Worth (TNW)	1,70,27,500.00	4,74,51,250.00	9,82,51,562.50	30,87,31,562.50	51,92,11,562.50
Long Term Borrowings	1,50,00,000.00	1,35,00,000.00	1,21,50,000.00	1,09,35,000.00	98,41,500.00
Short Term Borrowings	—	—	—	—	—
Total Debt	1,50,00,000.00	1,35,00,000.00	1,21,50,000.00	1,09,35,000.00	98,41,500.00
Trade Creditors / Payables	49,31,506.85	73,97,260.27	1,10,95,890.41	1,10,95,890.41	1,10,95,890.41
Other Current Liabilities	—	—	—	—	—
Total Outside Liabilities	1,99,31,506.85	2,08,97,260.27	2,32,45,890.41	2,20,30,890.41	2,09,37,390.41
Total Liabilities	3,69,59,006.85	6,83,48,510.27	12,14,97,452.91	33,07,62,452.91	54,01,48,952.91
APPLICATION OF FUNDS (ASSETS)					
Net Fixed Assets (incl CWIP)	1,27,50,000.00	1,08,37,500.00	92,11,875.00	92,11,875.00	92,11,875.00
Investments	—	—	—	—	—
Inventories / Stock	98,63,013.70	1,47,94,520.55	2,21,91,780.82	2,21,91,780.82	2,21,91,780.82
Sundry Debtors / Receivables	1,23,28,767.12	1,84,93,150.68	2,77,39,726.03	2,77,39,726.03	2,77,39,726.03
Cash & Bank Balances	20,17,226.03	81,01,976.03	1,82,62,038.53	6,03,58,038.53	10,24,54,038.53
Other Current Assets	—	—	—	—	—
Other Debit Balances	—	1,61,21,363.01	4,40,92,032.53	21,12,61,032.53	37,85,51,532.53
Total Current Assets	2,42,09,006.85	5,75,11,010.27	11,22,85,577.91	32,15,50,577.91	53,09,37,077.91
Net Working Capital (NWC)	1,92,77,500.00	5,01,13,750.00	10,11,89,687.50	31,04,54,687.50	51,98,41,187.50

PARTICULARS	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
	PROJECTED	PROJECTED	PROJECTED	PROJECTED	PROJECTED
Total Assets	3,69,59,006.85	6,83,48,510.27	12,14,97,452.91	33,07,62,452.91	54,01,48,952.91

7. Key Financial Ratios & Analysis

The following key financial ratios have been computed based on the audited/projected financials to assess the company's liquidity, leverage, profitability, and efficiency. The ratios are benchmarked against standard banking norms as prescribed by RBI and industry best practices.

RATIO	FORMULA	BENCHMARK	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
Current Ratio	CA / CL	≥ 1.33	4.91	7.77	10.12	28.98	47.85
Quick Ratio	(CA-Inv) / CL	≥ 1.00	2.91	3.60	4.15	7.94	11.73
Debt-Equity Ratio	Debt / Net Worth	≤ 2.00	0.88	0.28	0.12	0.04	0.02
TOL/TNW	Total OL / TNW	≤ 3.00	1.17	0.44	0.24	0.07	0.04
DSCR	(PAT+Dep+Int)/(Rep+Int)	≥ 1.25	14.53	23.69	41.88	0.00	0.00
Interest Coverage	EBIT / Interest	≥ 2.00	18.07	31.50	57.59	0.00	0.00
Gross Margin	(Rev-Mat) / Rev	> 30%	40.0%	40.0%	40.0%	100.0%	100.0%
EBITDA Margin	EBITDA / Revenue	> 10%	28.0%	31.2%	33.5%	93.5%	93.5%
PAT Margin	PAT / Revenue	> 5%	17.0%	20.3%	22.6%	93.5%	93.5%
ROCE	EBIT / CE	> 12%	80.4%	73.6%	66.9%	65.8%	39.8%
ROE	PAT / Net Worth	> 15%	100.0%	64.1%	51.7%	68.2%	40.5%
ROA	PAT / Total Assets	> 5%	46.1%	58.3%	65.6%	176.1%	130.2%
Inventory Days	Inv / Sales × 365	< 90	36 days	36 days	36 days	36 days	36 days
Debtor Days	Debtors / Sales × 365	< 90	45 days	45 days	45 days	45 days	45 days
Creditor Days	Creditors / Purchases × 365	< 60	30 days	30 days	30 days	0 days	0 days
Working Capital Cycle	Inv + Deb - Cred Days	< 120	51 days	51 days	51 days	81 days	81 days
Asset Turnover	Sales / Total Assets	> 1.0	2.71	2.87	2.91	1.88	1.39
Fixed Asset Turnover	Sales / Net FA	> 2.0	7.84	13.84	24.42	24.42	24.42

- **Comprehensive Ratio Analysis & Interpretation**

Current Ratio: Measures the company's ability to meet short-term obligations with current assets. A ratio above 1.33 (as per RBI norms) indicates adequate liquidity cushion. Below 1.0 signals potential liquidity stress.

Quick Ratio (Acid Test): A more stringent liquidity test that excludes inventories. Ratio above 1.00 indicates strong immediate liquidity position without relying on inventory liquidation.

Debt-Equity Ratio: Indicates the proportion of debt to equity in the capital structure. A ratio below 2.00 suggests conservative leverage and lower financial risk. Higher ratios indicate greater financial leverage and vulnerability.

TOL/TNW: Total Outside Liabilities to Tangible Net Worth. A ratio below 3:1 is considered acceptable as per banking norms. Above 4:1 indicates high leverage and elevated credit risk.

DSCR: Debt Service Coverage Ratio measures cash available to service debt obligations. A DSCR above 1.50x indicates excellent debt repayment capacity, 1.25x is minimum comfort level, below 1.00x indicates inability to service debt.

Interest Coverage: Measures the company's ability to pay interest on debt from operating profits. Ratio above 3.00x indicates strong comfort, 2.00x is adequate, below 1.50x raises concerns.

Gross Margin: Indicates the profitability before indirect costs. Higher margins (above 30%) suggest strong pricing power and operational efficiency. Low margins indicate competitive pressure or cost challenges.

EBITDA Margin: Operating efficiency measure before depreciation and finance costs. Above 15% indicates strong operational performance, 10-15% is healthy, below 10% requires operational review.

PAT Margin: Net profitability after all expenses. Above 8% is strong, 5-8% is moderate, below 5% suggests thin margins and vulnerability to cost fluctuations.

ROCE: Return on Capital Employed measures efficiency of capital usage. Above 15% indicates efficient capital deployment, 12-15% is acceptable, below 12% suggests inefficient capital utilization.

Working Capital Cycle: Duration from cash outlay to cash recovery. Below 90 days indicates efficient working capital management, 90-120 days is moderate, above 150 days indicates working capital stress.

8. MPBF Calculation — Tandon Committee (2nd Method)

Maximum Permissible Bank Finance (MPBF) has been calculated using the Tandon Committee's Second Method, which is the most widely adopted method by banks in India. Under this method, the borrower is required to bring 25% of total current assets as margin from long-term sources.

ITEM	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
Total Current Assets (TCA)	2,42,09,006.85	4,13,89,647.26	6,81,93,545.38	11,02,89,545.38	15,23,85,545.38
Less: Current Liab (excl Bank)	49,31,506.85	73,97,260.27	1,10,95,890.41	1,10,95,890.41	1,10,95,890.41
Working Capital Gap	1,92,77,500.00	3,39,92,386.99	5,70,97,654.97	9,91,93,654.97	14,12,89,654.97
Less: 25% of TCA (Margin)	60,52,251.71	1,03,47,411.82	1,70,48,386.34	2,75,72,386.34	3,80,96,386.34
MPBF	1,32,25,248.29	2,36,44,975.17	4,00,49,268.62	7,16,21,268.62	10,31,93,268.62

9. Drawing Power Calculation

Drawing Power represents the maximum amount a borrower can draw against sanctioned limits based on the value of underlying securities (stock and debtors), net of creditors.

ITEM	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
Stock / Inventory	98,63,013.70	1,47,94,520.55	2,21,91,780.82	2,21,91,780.82	2,21,91,780.82
Debtors (up to 90 days)	1,23,28,767.12	1,84,93,150.68	2,77,39,726.03	2,77,39,726.03	2,77,39,726.03
Total Security	2,21,91,780.82	3,32,87,671.23	4,99,31,506.85	4,99,31,506.85	4,99,31,506.85
Less: Creditors	49,31,506.85	73,97,260.27	1,10,95,890.41	1,10,95,890.41	1,10,95,890.41
Drawing Power (75%)	1,29,45,205.48	1,94,17,808.22	2,91,26,712.33	2,91,26,712.33	2,91,26,712.33

10. Cash Flow Statement (₹ Lakhs)

PARTICULARS	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
A. CASH FLOW FROM OPERATIONS					
Net Profit After Tax (PAT)	1,70,27,500.00	3,04,23,750.00	5,08,00,312.50	21,04,80,000.00	21,04,80,000.00
Add: Depreciation	22,50,000.00	19,12,500.00	16,25,625.00	—	—
(Inc)/Dec in Debtors	—	(61,64,383.56)	(92,46,575.34)	—	—
(Inc)/Dec in Inventories	—	(49,31,506.85)	(73,97,260.27)	—	—
Inc/(Dec) in Creditors	—	24,65,753.42	36,98,630.14	—	—
(Inc)/Dec in Other CA	—	—	—	—	—
Inc/(Dec) in Other CL	—	—	—	—	—
Net Cash from Operations (A)	1,92,77,500.00	2,37,06,113.01	3,94,80,732.02	21,04,80,000.00	21,04,80,000.00
B. CASH FLOW FROM INVESTING					
Capital Expenditure / Project Cost	(1,50,00,000.00)	—	—	—	—
Subsequent Capex	—	—	—	—	—
Net Cash from Investing (B)	(1,50,00,000.00)	—	—	—	—
C. CASH FLOW FROM FINANCING					
Equity Infusion	—	—	—	—	—
Term Loan Received	1,50,00,000.00	—	—	—	—
Change in Borrowings	—	(15,00,000.00)	(13,50,000.00)	(12,15,000.00)	(10,93,500.00)
Less: Interest/Finance Costs Paid	(14,25,000.00)	(14,25,000.00)	(12,82,500.00)	—	—
Net Cash from Financing (C)	1,35,75,000.00	(29,25,000.00)	(26,32,500.00)	(12,15,000.00)	(10,93,500.00)
D. SUMMARY					
Net Change in Cash (A+B+C)	1,78,52,500.00	2,07,81,113.01	3,68,48,232.02	20,92,65,000.00	20,93,86,500.00
Opening Cash & Bank	—	20,17,226.03	81,01,976.03	1,82,62,038.53	6,03,58,038.53

PARTICULARS	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
Closing Cash & Bank	20,17,226.03	81,01,976.03	1,82,62,038.53	6,03,58,038.53	10,24,54,038.53

11. Project Cost & Means of Finance (₹ Lakhs)

Project Cost Breakup

COMPONENT	₹ LAKHS	%
Working Capital Margin	1,50,00,000.00	100.0%
Total	1,50,00,000.00	100%

Means of Finance

SOURCE	₹ LAKHS	%
Term Loan	1,50,00,000.00	100.0%
Total	1,50,00,000.00	100%

Debt-Equity Ratio: —:1

12. Loan Amortization Schedule (₹ Lakhs)

The following amortization schedule shows the year-wise repayment of the term loan of ₹1,50,00,000.00 Lakhs at 9.5% p.a. over 10 years with a moratorium period of 120 months.

YEAR	OPENING	EMI	PRINCIPAL	INTEREST	CLOSING
1	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
2	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
3	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
4	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
5	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
6	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
7	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
8	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
9	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
10	1,50,00,000.00	—	—	14,25,000.00	1,50,00,000.00
Total		—	—	1,42,50,000.00	

13. Sensitivity Analysis

A sensitivity analysis has been performed to assess the impact of adverse scenarios on the company's debt servicing capacity. The following table shows the DSCR under different stress scenarios:

SCENARIO	ASSUMPTION	PROJECTED DSCR	STRESSED DSCR	ASSESSMENT
Revenue Decline 10%	Sales drop by 10%	0.00x	0.00x	Stressed
Revenue Decline 20%	Sales drop by 20%	0.00x	0.00x	Stressed
Cost Increase 10%	Material costs rise 10%	0.00x	0.00x	Stressed
Combined Stress	Revenue -10%, Cost +5%	0.00x	0.00x	Stressed

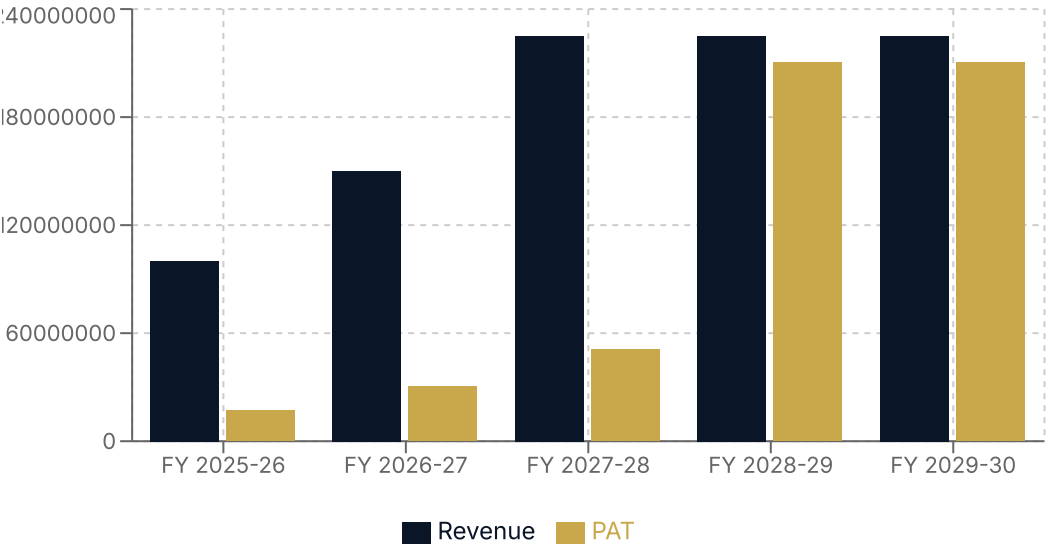
14. Risk Analysis & Mitigation

A comprehensive risk assessment has been conducted to evaluate potential risks across various categories and develop appropriate mitigation strategies to protect the interests of the company and its stakeholders.

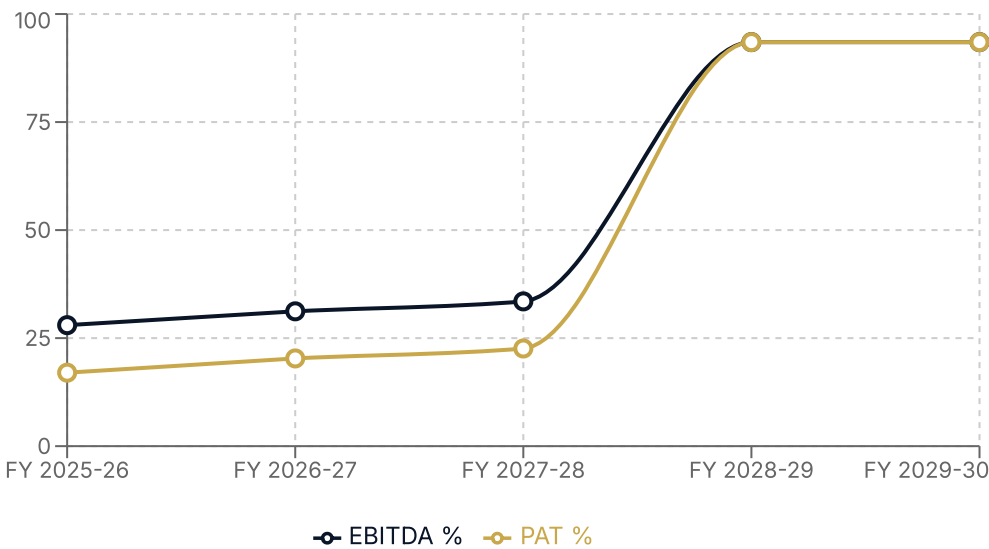
RISK CATEGORY	RISK DESCRIPTION	LEVEL	MITIGATION STRATEGY
Market Risk	Demand fluctuation due to economic cycles and competition from organized/unorganized players	Medium	Diversified customer base, long-term contracts, competitive pricing strategy, brand building
Credit Risk	Debtor defaults, delayed payments, and potential bad debts impacting cash flows	Low	Strict credit policy, credit insurance, regular follow-up, credit checks on new customers
Operational Risk	Supply chain disruption, machinery breakdown, labor issues, quality failures	Medium	Multiple suppliers, preventive maintenance schedule, insurance coverage, quality management system
Financial Risk	Interest rate fluctuation, liquidity crunch, forex exposure on imports	Low	Fixed rate borrowings, adequate cash reserves, working capital management, hedging policy
Regulatory Risk	Changes in tax policy, environmental norms, industry-specific regulations	Low	Proactive compliance, professional advisory, regular regulatory monitoring
Technology Risk	Obsolescence of existing technology, cybersecurity threats	Low	Regular technology upgradation, IT security measures, data backup systems

15. Financial Charts & Dashboard

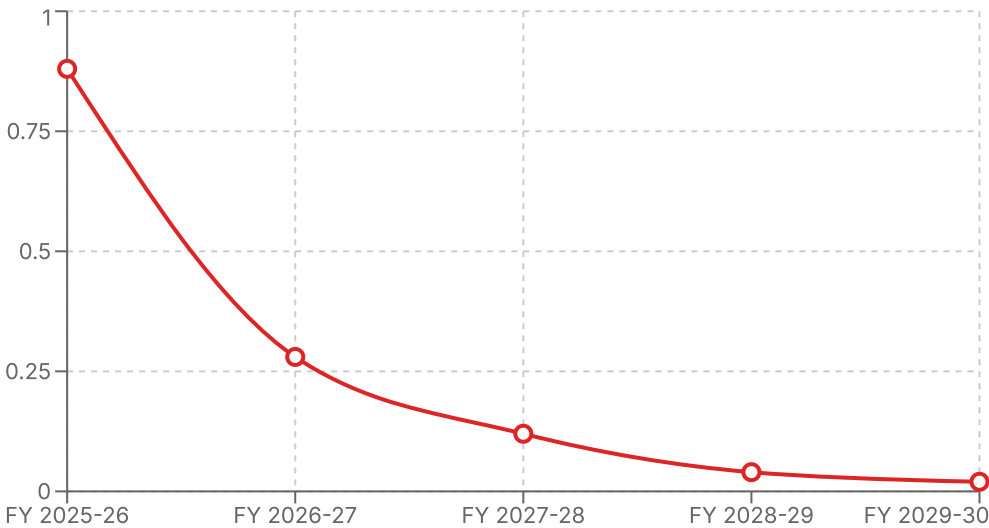
Revenue & PAT Trend (₹ Lakhs)



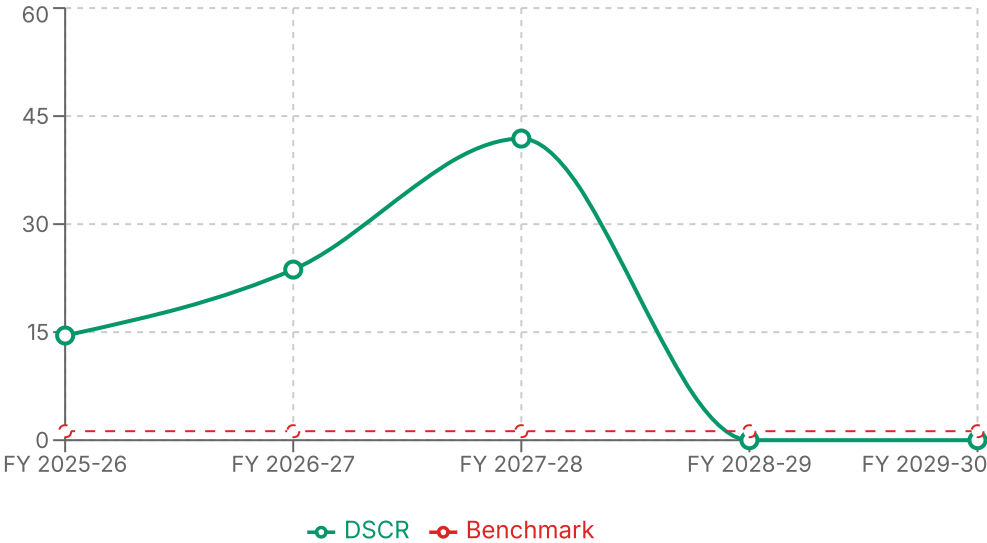
Margin Trends (%)



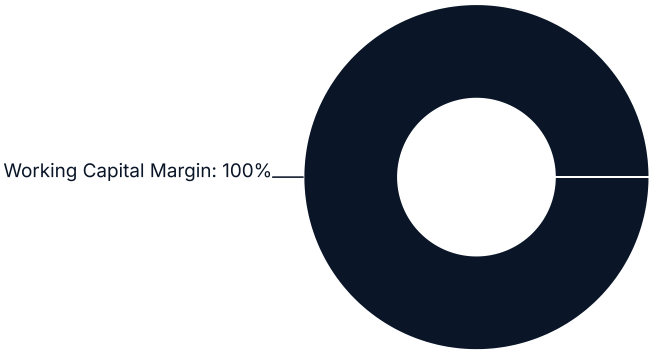
Debt-Equity Ratio



DSCR Trend



Project Cost Composition



16. Conclusion & Recommendation

Based on the analysis of the financial performance (actual, provisional, and projected) of **GOYAL FERTILIZER**, the following observations and recommendations are made:

- The company has demonstrated strong revenue growth with a projected CAGR of 22.5%
- Operating margins (EBITDA) show potential for improvement
- The capital structure is moderately leveraged with D/E ratio of —
- The Average DSCR of 16.02x provides comfortable coverage for proposed debt obligations
- Liquidity position as measured by Current Ratio (—) is needs monitoring

Recommendation: Based on the above analysis, the proposed credit facility of ₹1,50,00,000.00 Lakhs appears viable and is recommended for consideration. The projected cash flows indicate adequate capacity to service the proposed debt along with existing obligations. The promoters have demonstrated adequate commitment through equity contribution.

17. Key Assumptions

The following assumptions have been used for projecting the financial statements:

PARAMETER	ASSUMPTION
Sales Growth Rate	25.0% year-on-year (applied compoundingly)
Cost of Materials	30.0% of Net Sales
Employee Cost Growth	4.0% year-on-year
Other Expenses Growth	5.0% year-on-year
Depreciation Rate	7.5% on Net Fixed Assets (WDV method)
Interest Rate	4.8% on outstanding borrowings
Tax Rate	15.0% on Profit Before Tax (negative PBT = zero tax)
Working Capital	Debtors, Inventory, Creditors grow proportional to Sales/Purchases
Long Term Borrowings	Repaid as per amortization schedule (10% annual repayment for projections)
Short Term Borrowings	Grow proportional to sales growth
Cash & Bank	Derived as balancing figure / residual cash flow
Project Cost	₹1,50,00,000.00 Lakhs — reflected in Fixed Assets
Means of Finance	Equity: ₹— L, Term Loan: ₹1,50,00,000.00 L
Loan Repayment	₹1,50,00,000.00 L at 9.5% for 10 yrs, moratorium 120 months
Balance Sheet Tally	Other Credit/Debit Balances used as auto-adjusting items to ensure Assets = Liabilities
DSCR Calculation	(PAT + Depreciation + Interest) / (Principal Repayment + Interest)
Current Ratio	Total Current Assets / Current Liabilities (excl. short-term borrowings for Tandon method)

Greenfield Project Note: Since this is a new project without financial history, the base year financials have been constructed from user-provided estimates (Sales, Employee Cost, Material %) combined with project cost and means of finance data. Fixed Assets = Total Project Cost, Depreciation derived from project cost, Finance Costs from term loan at declared interest rate. Balance Sheet is auto-constructed with working capital assumptions (Debtor Days: 45, Inventory Days: 60, Creditor Days: 30).

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